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STOCKS

Broadcom: It's Better to Branch Out

Diversifying from smartphones helps as the chip maker digests a huge merger

By Dan Gallagher

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Broadcom is scheduled to report quarterly results Thursday. MIKE BLAKE/REUTERS

The company now known as Broadcom owes much of its fortune to its ability to separate signal from noise. That will come in handy in the months ahead.

The company, formerly known as Avago, is in the early days of integrating the largest merger ever in the chip industry. The \$37 billion combination between Avago and Broadcom, announced a year ago, was completed in February. Fiscal second-quarter results due Thursday will be the first to reflect the combined business.

Analysts expect revenue of about \$3.6 billion with earnings of \$2.38 a share for the quarter ended May 1. Avago, which assumed Broadcom's corporate identity with the

deal, posted revenue of \$1.6 billion with per-share earnings of \$1.21 from continuing operations in the same period last year as a stand-alone business.

Of key interest will be Broadcom's progress on its stated goal of achieving \$750 million in annual cost savings. It also has promised to rapidly pay down debt, of which \$9 billion was incurred to get the deal done.

That is challenging at the best of times. But it also comes during an unprecedented slowdown for Apple's iPhone, a major outlet for Broadcom's chips that filter signal interference common in phones that operate on several different spectrum bands. Apple represents about 15% of the combined company's revenue, Amit Daryanani of RBC Capital estimates.

Avago brings a strong operating history that suggests it is up to the tasks ahead. It helps that the combination makes the company much less reliant on the cyclical smartphone business.

Analysts expect the wireless segment to account for about 25% of the combined company's revenue this fiscal year compared with 37% for stand-alone Avago last year. The addition of Broadcom's business also beefs up the segment the sells chips used in communications and data-center equipment, which has a better growth outlook.

It also helps that Broadcom shares are a relative bargain at 13 times forward earnings, down from 16 times a year ago. Its discount to peers gives the stock breathing room as the company hustles to work through the merger and stay ahead of rivals.

That signal should resonate.

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